July 13, 2026

Dear Editors of The R Journal,

We are pleased to submit our manuscript, "tidyfinance: Transparent Factor Construction for Empirical Asset Pricing," for consideration as a contributed research article.

Empirical research in finance and the quantitative social sciences rests on data-preparation pipelines that are notoriously opaque, so that published findings often cannot be reproduced. The problem is especially acute in empirical asset pricing, where turning raw accounting and return data into research-ready factor portfolios requires dozens of consequential yet undocumented choices. The *tidyfinance* package, available on CRAN, makes this pipeline transparent and reproducible: it exposes every construction decision as a configurable parameter with a documented default, wrapped in a unified `download_data()` interface and a set of small, composable, pipe-friendly functions for the steps in between. The manuscript focuses on the package's design and interface rather than on asset-pricing methodology, which it covers only as far as needed to show what the package does.

We believe the article is a good fit for The R Journal for three reasons.

First, it is a package-description article that goes well beyond the package vignette. Where the vignette demonstrates the workflow, the manuscript sets out the design rationale, makes the case for transparency in a pipeline the field otherwise leaves implicit, and reproduces a well-known asset-pricing factor end to end while *varying* construction choices to show how each one moves the result. The package turns implicit, hand-coded conventions into auditable, versioned, tested, and documented code, and already underpins open teaching materials used in graduate finance and data-science courses.

Second, the contribution is as much about R software design as about finance, and it fills a real gap in the R ecosystem. Data-acquisition packages such as *frenchdata*, *quantmod*, and *tidyquant* stop at raw downloads, and downstream analysis packages assume a clean panel already in hand; *tidyfinance* exposes the construction layer in between. Its design as a single default call that reproduces standard practice, while overriding any one choice takes a single argument, is of interest to R users and developers beyond the asset pricing domain.

Third, the package is fully runnable without any paid subscription. Although it connects to the commercial data (CRSP and Compustat via WRDS) that this field treats as standard, it equally serves the free and open sources most R users can access (Ken French's Data Library, FRED, and Yahoo Finance) and ships a built-in pseudo-data generator. As a result, this manuscript compiles end to end from a single R Markdown source, and a reader without WRDS access can rebuild every number, table, and figure.

One point on which we would welcome the editors' guidance concerns how the manuscript should be rendered. For the results reported here, we compile the R Markdown source against the proprietary WRDS database (with `data_domain <- "WRDS"` set in line 959 of `tidyfinance.Rmd`), which reproduces every number exactly but requires a WRDS subscription. The same source also compiles against the built-in pseudo-data generator (`data_domain <- "Pseudo Data"`), which any reader can run without a subscription. It exercises the identical code paths and renders every table and figure, but the results it produces are noise. We are happy to submit either version and would appreciate the editors' preference on which route best fits The R Journal's reproducibility standards.

The package is on CRAN, with fully documented and exported functions, examples, unit tests, and a vignette. We confirm that this work is original, has not been published previously, and is not under consideration for publication elsewhere. All code and data workflows are publicly available, and the results in the manuscript are reproducible.

On behalf of all authors, thank you for considering our submission.

Sincerely,

Christoph Frey (Lancaster University)
Christoph Scheuch (Humboldt University of Berlin)
Stefan Voigt (University of Copenhagen and Danish Finance Institute)
Patrick Weiss (Reykjavík University)